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Header: LUXURY CONSUMPTION

The Psychology of Luxury Consumption

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Abstract

This review synthesizes the latest advances in the psychology of luxury consumption. We discuss novel drivers, forms, and consequences of luxury consumption from recent research. We propose that the psychology of luxury consumption is governed by a set of tensions between what luxury means to the self and the external forces that define luxury consumption. These tensions shape consumer behavior, from their level of desire for luxury products and services, to the types of signals viewed as luxury and acquired and displayed as such, and to post-consumption consequences of consuming luxury. We discuss how this tension-based framework offers future opportunities for the study of the drivers, forms, and consequences of luxury consumption.

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Highlights

- Biological, socio-psychological, and structural factors drive consumers' desire for luxury.
- Luxury consumption combines traditional and novel forms of consumption, as well as forms of non-consumption.
- Consuming luxury yields costs and benefits at the economic, social, and psychological levels.
- Tensions permeate the drivers, forms, and consequences of luxury consumption.

When French historian de Waresquiel described the luxurious life of the nobility as a microcosm that reproduced "the distance of blood and the etiquette of ranks" ([1] p.18), he made clear the historic role played by luxury in maintaining the separation among classes and the fabric of the social hierarchy [2,3,4]. We propose that luxury consumption is motivated, pursued, and ensued by a lot more than rank separation traditionally invoked in historians and philosophers' writings. To do so, we highlight novel drivers, forms, and consequences of luxury consumption from recent research. Importantly, we identify tensions permeating all three components of the luxury consumption process that typically pit what luxury means to the self against external forces and meanings that define luxury consumption. These tensions emerge from: (a) conflicting motives that shape consumers' desire for luxury, (b) various forms of luxury and status pursuits that give rise to conflicting practices and meanings, and (c) conflicting outcomes and feelings that arise from luxury consumption. We discuss how such tensions present opportunities for future research (Figure 1).

Drivers of luxury consumption

Consumers' enduring desire for luxury largely derives from the need for status, that is, "respect, admiration, and voluntary deference <…> afforded by others" ([5, p. 575]). This need drives the way consumers select, use, and decode signals associated with high status in the marketplace, be it material objects, experiences, or knowledge. Status "leaks" from these valued signals to their depositaries [6]. Recent research has highlighted three pathways which shape consumers' status-driven desire for luxury: *biological*, *socio-psychological* and *structural* factors.

Focusing on the *biological* drivers of luxury consumption, Nave et al. [7*] provide causal evidence that testosterone – a hormone associated with the need for status in animals and humans – increases the desire for luxury brands. Specifically, these researchers found

that administering testosterone (vs. placebo) increased men's preference for luxury brands (e.g., Calvin Klein), but not non-luxury brands of similar quality (e.g., Levi's). Another study showed how biological factors interact with social context in shaping the desire for luxury: male customers purchased more expensive products in the presence (vs. absence) of a physically dominant male employee. This effect was stronger among customers shorter (vs. taller) in height or with a high (vs. low) hand digit ratio (which is indicative of low levels of testosterone) [8]. These findings are consistent with the idea that evolutionary needs and mating goals significantly and uniquely alter women's and men's luxury consumption [9,10]. Finally, neuroscientific evidence suggests that the mere presence of another person increases female consumers' attention to luxury products because the state of arousal produced by another's presence magnifies the emotional value of those products [11].

Turning to *socio-psychological* motives, recent research has begun to unpack the relationship between consumers' beliefs/goals and desire for luxury. Kim et al. [12*], building on the idea that conservatives attach more importance to maintaining status and that high status activates the status-maintenance goal, find that conservatives high (but not low) in socioeconomic status exhibit a greater desire for luxury products and brands. Complementary studies show that conservatives seek luxury because it enables them to vertically differentiate from others in the social hierarchy and to endorse their beliefs about hierarchy's legitimacy. In contrast, liberals differentiate non-hierarchically through unique and creative (typically non-luxury) consumption [13*]. Separately, power increases individuals' need for uniqueness from (vs. assimilation to) high-status others, and ultimately boosts their desire for experiential (vs. material) luxury because of its unique ability to satisfy uniqueness (vs. assimilation) needs (Dubois and Ruvio, unpublished).

Finally, increased access to "big data" reflecting consumers' opinions (e.g., social media), interest, or intent (e.g., search) [14] can shed new light on when and why *structural*

features of the social strata affect the desire for luxury. Greater income inequality, for example, can heighten individuals' sensitivity to status signals. In one study, luxury brands such as Louis Vuitton and Rolex (but not everyday brands) were more frequently mentioned in tweets originating from areas with high income inequality [15*]. In another study, over 70% of the 40 most frequent online queries performed in U.S. states with greater income inequality referred to status goods (e.g., luxury brands and jewelry), whereas none of the top 40 online queries referred to status goods in states with lower income inequality [16]. More recently, Bellet et al. [17] found that the ratio of image over web searches – a measure of brands' conspicuousness – increased as a function of local state inequality in the U.S. for high-end (but not low-end) brands.

Although often studied separately, these biological, socio-psychological, and structural antecedents interact – and possibly conflict – in shaping luxury consumption. Tensions have been observed between biological and socio-psychological drivers of luxury consumption. For example, consumers with high (vs. low) childhood socioeconomic status reduce (vs. increase) their luxury consumption when they experience uncertainty and stress because they resort to biologically- and developmentally-rooted "long (vs. short) life history" strategies focused on preserving resources for future use (rather than enjoying them in the present) [18]. Similarly, tensions may arise between socio-psychological and structural drivers of luxury consumption. Ordabayeva and Chandon [19], for example, added nuance to the view that economic inequality drives luxury consumption by showing that high equality can sometimes increase luxury spending, particularly if it enables consumers to leapfrog over the mass of rivals in middle status tiers. Clearly, further research is needed to shed more light on how tensions among the drivers of luxury consumption impact the desire for luxury.

Forms of luxury consumption

Luxury consumption is traditionally studied through the purchase and display of highly observable items by well-known luxury brands [20,21]. However, with the proliferation of luxury across diverse segments and markets, luxury consumption has taken on diverse, novel, and sometimes unexpected forms – *within* the traditional luxury domain, *beyond* traditional luxury, and even *outside* the realm of consumption altogether.

Within traditional brand offerings, consumers exhibit a distinct preference for luxury products in ways that reflect what luxury consumption means and provides for the individual buyer. For example, consumers with less experience in the luxury domain (referred to as 'luxury excursionists'), typically from lower socioeconomic tiers, prefer 'loud' luxury products with more prominent brand identifiers (e.g., logos). In contrast, those with greater expertise prefer 'quiet' luxury products with less prominent (or no) identifiers [22,23]. This is because non-experts seek to be affiliated with more affluent and experienced groups, whereas experts seek to dissociate themselves from the mainstream.

Luxury consumption is also manifested in the purchase of iconic products (that have been part of luxury brand collections for decades) or ephemeral products (that change every season). Whereas both iconic and ephemeral luxury products signal high status, the latter create a stronger perception that the buyer earned their status through effort (rather than inheriting it from a privileged background), which, in turn, boosts the recognition bestowed on the consumer by observers [24]. Vintage items (e.g., vintage luxury watches) may also create distinct meanings and benefits. By strengthening the mental connection across past, present, and future, they help mitigate existential threats such as death reminders [25].

In the contemporary marketplace where thrift and sustainability are garnering interest, consumers also look *beyond* traditional luxury offerings in pursuit of benefits of luxury. They may supplement or even substitute traditional luxury brands with non-traditional luxury or non-luxury products to strengthen the status signaling value of their purchases. For example,

high-status individuals mix luxury with non-luxury products (e.g., upscale foie gras with downscale mac-n-cheese at a restaurant) to differentiate themselves from the middle-class masses [26*]. Some prefer horizontally differentiated non-luxury items (like red sneakers) over traditional vertically differentiated luxury products to signal high status [13,27]. Considering the environmental cost of luxury production, some even find the environmental toll of luxury products appealing (Ward M, Dommer SL, Dahl D, unpublished), while others favor more sustainable framing of luxury consumption (e.g., a luxury jacket can last years) (Sun JJ, Bellezza S, Paharia N, unpublished). Finally, while traditionally luxury products are traditionally associated with high aesthetic appeal, ugly luxury products can also command a premium if perceived as more distinct, valuable, and 'fashion-forward' (Cesario L, Townsend C, Shi Z, unpublished).

As the scope of luxury consumption behaviors widens – within and outside traditional luxury categories – people have started to look *beyond* the realm of consumption in pursuing the meaning and benefits of luxury. Consumers increasingly invest in domains such as parenting, education, and health to acquire cultural capital and status recognition that were traditionally attained through luxury. Parents face mounting pressure to send their children to elite kindergartens and schools, sign them up for extra-curricular activities, and nurture their cultural (not just physical) development at home to garner social status and respect within certain circles [28].

Likewise, eating and living healthy, and environmentally-friendly behaviors have become symbolic of high status. Shopping at specialized grocery stores, paying for fitness equipment and classes, and using sustainable energy and materials are increasingly associated with privilege and status [29,30]. At the societal level, public outcries over social injustice and demands for fairer economic practices are often associated with the elite and high social

strata [31]. The growing presence of such non-consumption-related behaviors in individuals' status-seeking pursuits offers many interesting avenues for future work.

Notably, these findings highlight that individuals' distinct pursuits of meanings and benefits of luxury – whether they fall within the traditional luxury domain, outside traditional forms of luxury consumption, or in the non-consumption realm – often conflict with each other. These tensions arise within as well as across each of these categories. Within the consumption domain, non-traditional purchases of downscale, horizontally-differentiated, and green products that elevate consumers' status are at odds with more traditional forms of luxury consumption that emphasize upscale, vertically-differentiated, and resource-intensive products. Across domains, investing in parenting and self-care which focus on the investment of non-financial, but rather physical and affective, resources, may yield similar status benefits as traditional luxury which typically comes at a high financial cost. Such tensions are a reminder that the vehicles of status-pursuit constantly change in step with evolving norms and values that prevail in specific groups or at specific points in time, and of the consumer's need to navigate the complicated maze of status meanings associated with a wide array of luxury and non-luxury behaviors. Understanding these tensions and how consumers resolve them offers fruitful avenues for future research.

Consequences of luxury consumption

Luxury consumption yields multiple benefits for the individual. The wearing of a luxury (vs. non-luxury) brand can increase one's perceived competence [24,32*,33], as well as social recognition, compliance and economic rewards from others [34,35]. Merely thinking about owning a luxury (vs. non-luxury) product can shield the self against the psychological sting of negative feedback [36].

Conversely, recent work has uncovered potentially negative consequences of consuming and displaying luxury goods, repositioning luxury as both a boon and a bane. This dark side of luxury consumption emerges at the psychological, social, and economic levels, spanning: (1) intrapsychic costs (*psychological*), (2) interpersonal costs to luxury users (*social*), and (3) negative spillovers on luxury brands (*economic*), as explained below.

At the *psychological* (intrapsychic) level, recent work has shed light on the psychological cost of luxury consumption that impairs consumers' well-being. Goor and colleagues [37*] found that luxury consumption makes consumers feel inauthentic because it is seen as an undue privilege. This effect emerges across people in various income brackets, including high-income luxury owners. Feelings of inauthenticity subsequently drive luxury consumers to behave less confidently. Moreover, thinking about possessing a luxury product relative to a non-luxury product can lead to a heightened feeling of hubristic pride, which is often viewed as antisocial and selfish [38]. Purchasing expensive luxury goods can trigger negative emotions such as shame and guilt, even among affluent consumers [39,40,41].

At the *social* (interpersonal) level, luxury consumption can have adverse social costs. Luxury consumers are perceived as less warm and less social because they are viewed as attempting to manage impressions [38, 42*]. Consequently, people wearing luxury products are less attractive as new friends [32], in warmth-oriented job settings (e.g., human resources coordinator) [42], and in communal service relationships [33,43]. Luxury consumers are viewed as more wasteful, materialistic (Sun JJ, Bellezza S, Paharia N, unpublished), and even immoral by observers who oppose self-aggrandizement [44]. In a mating context, luxury consumption may harm a female consumer's chances of appealing to a potential male mate because it signals her higher financial expectations [45].

From an *economic* perspective, certain types of luxury consumption ironically harm the very luxury brands that are being consumed. For example, conspicuous use of a luxury

brand (e.g., Tiffany) can dilute the brand [46]. Witnessing unearned luxury consumption can likewise produce an adverse response to the brand from observers who value fairness [47]. In one experiment, fairness-focused participants evaluated Louis Vuitton less favorably after learning that a consumer purchased an item by the brand using parents' (vs. own hard-earned) money [47]. This brand dilution occurs because unearned luxury consumption makes the target luxury consumer appear less prestigious.

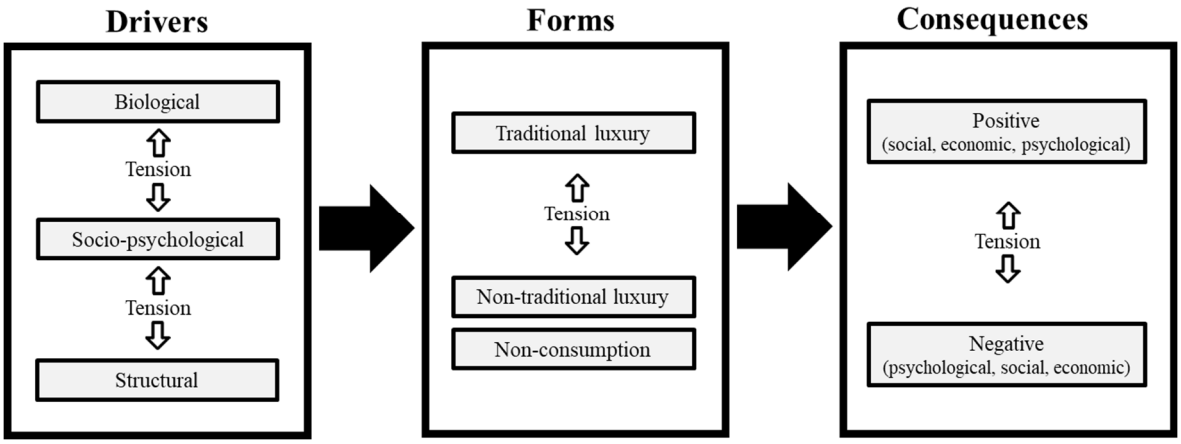
Taken together, these recent findings illuminate both positive and negative outcomes of luxury consumption. While consuming luxury can provide a psychological buffer against self-threats [36], it may also create a new threat in the form of feelings of inauthenticity [37]. Luxury users may be perceived positively in some respects (competence) [33], but negatively in others (warmth) [42]. It would be worth investigating how individuals, anticipating these contrasting outcomes of luxury consumption, navigate such tensions. For example, they may forgo feelings of authenticity and use luxury in a professional context to make a good impression and initiate business contacts [32,37], while in situations where they want to build trust and emotionally connect with others, they may refrain from displaying luxury [32]. Future research should examine how different contexts or goals may guide the strategic negotiation of the conflicting outcomes of luxury consumption.

Conclusion

Our brief review of recent advances in the drivers, forms, and consequences of luxury consumption reveals tensions at each step of the luxury consumption process (Figure 1). Biological, socio-psychological, and structural motives may conflict with one another and interact in interesting ways to shape consumers' desire for luxury [48] and brands' market responses [49]. Given the large heterogeneity in what consumers consider as luxury [50], tensions may also emerge among different forms of luxury consumption as status symbols

become increasingly complex and acquire conflicting meanings in the marketplace. Finally, luxury consumption entails distinct cost-benefit trade-offs for the consumer. In presenting novel perspectives on the psychology of luxury consumption, we hope to pave the way to further investigation.

Figure 1. Novel drivers, forms, and consequences of luxury consumption and the tensions within them.



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   Results of a placebo-controlled experiment show that testosterone causally increases men's (1) preference for status brands relative to non-status brands of similar perceived quality, and (2) attitudes toward status-enhancing goods, but not power-enhancing goods or goods high in quality.

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Political conservatism triggers a greater preference for social stability and subsequently boosts consumers' desire for luxury goods when the status-maintenance goal (i.e., the desire to maintain one's status) is activated, but not when the status-advancement goal (i.e., the desire to advance one's status) is activated or when there is no status goal.

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Political conservatism (vs. liberalism) increases consumers' preference for vertically- (vs. horizontally-) differentiating products in the social hierarchy. This is because conservatism (vs. liberalism) endorses (vs. opposes) the view that the social hierarchy legitimately assigns ranks to individuals based on their hard work and merit.

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    When multiple status-signaling is possible, high-status individuals are more likely to mix and match high signals (i.e., items associated with high-status groups) and low signals (i.e., items associated with low-status groups). This mix-and-match tendency is driven by the desire to differentiate from middle-status individuals.

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